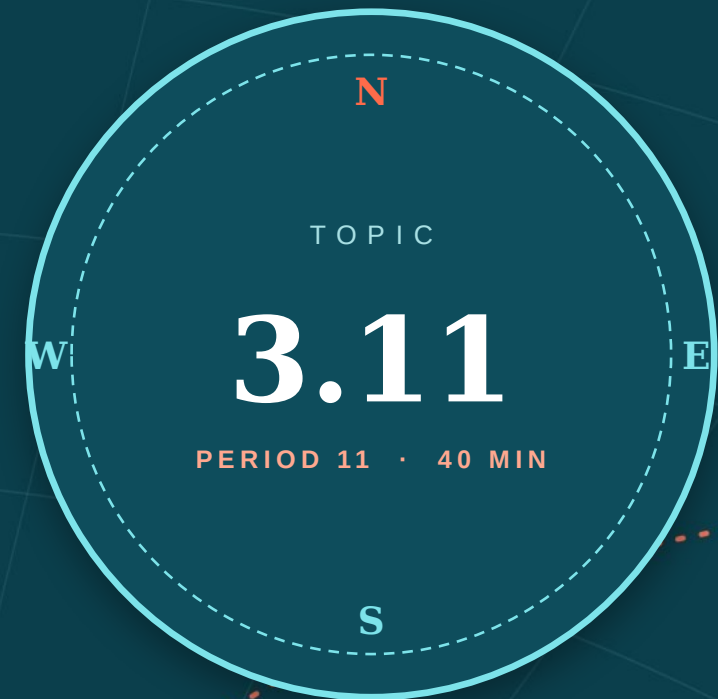


UNIT 3 · TOPIC 3.11

Tax Calculation and Compliance

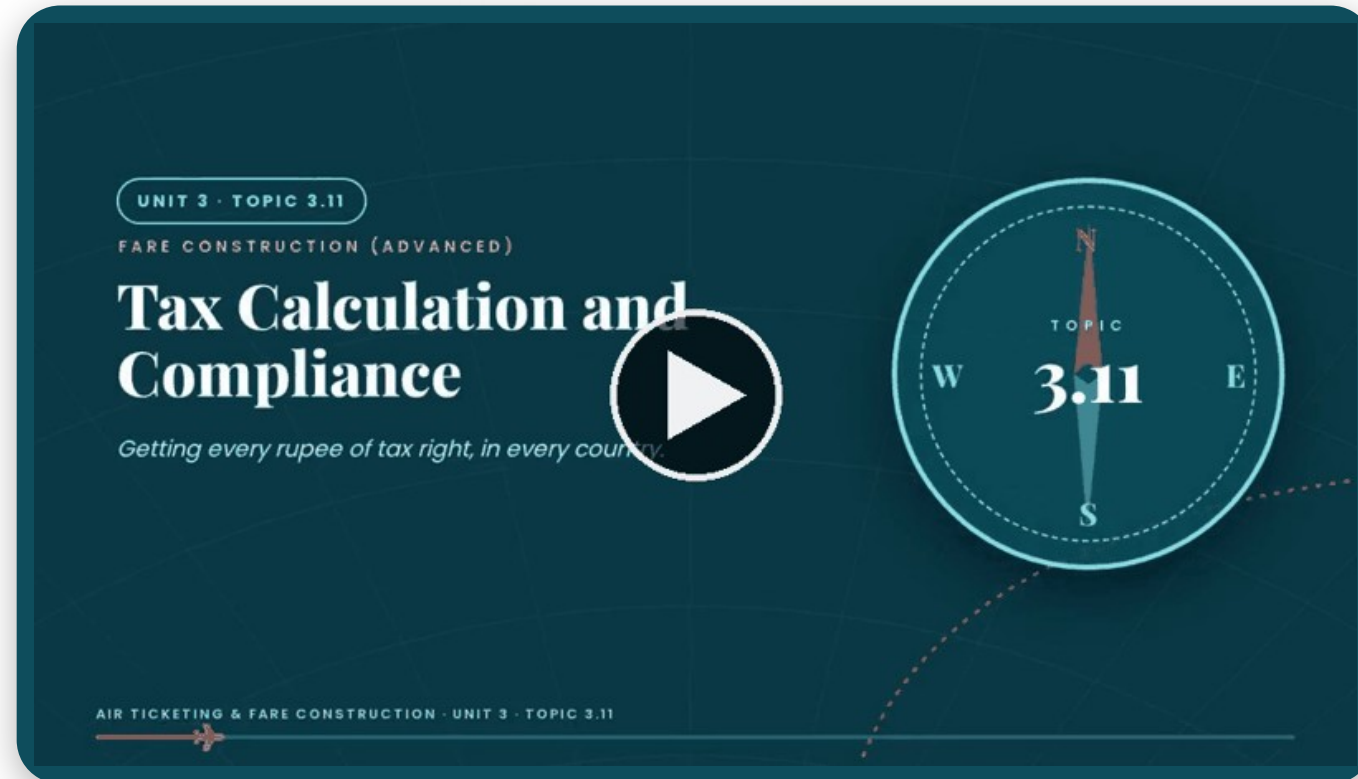
Getting every rupee of tax right, in every country.

B.B.A. Aviation Management · Semester III · Unit 3: Fare Construction (Advanced)
Air Ticketing & Fare Construction (2ACBAM32) · Arun Kumar



TOPIC 3.11

Expedition Preview: Topic Intro



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02

TOPIC 3.11

Navigator's Question



THINK ABOUT IT

Why does the tax on the same trip change depending on the country you leave from?

**THINK**

30 seconds alone

**PAIR**

1 minute with a neighbour

**SHARE**

2–3 answers with the class



TOPIC 3.11

Route Map for Today

1

3.11.1

Types of taxes: airport taxes, fuel-related charges, environmental levies

2

3.11.2

Tax compliance: legal and regulatory requirements in different jurisdictions

3

3.11.3

Tax calculation methods

4

3.11.4

How airlines apply taxes and fees based on departure



COURSE OBJECTIVES

- Classify airline taxes and charges
- Explain compliance obligations
- Use percentage and fixed tax methods
- Apply departure-based tax logic

Pedagogy: Technology-Based Learning



TOPIC 3.11.1

Types of Taxes & Charges



Government Taxes

GST (India), VAT, departure / arrival taxes.



Airport Charges

User development / passenger service fees.



Security Fees

Aviation security fee per departing passenger.



Environmental Levies

e.g., UK Air Passenger Duty, EU/other green taxes.



TOPIC 3.11.1

Examples of Tax Codes

Code	Name	Country
K3	Goods and Services Tax (GST)	India
IN	User Development Fee	India
GB	Air Passenger Duty	United Kingdom
US	Transportation tax	United States
YQ / YR	Carrier surcharges (not taxes)	Airline-imposed

Note: Tax codes and amounts change — always use the GDS tax table on the day of ticketing.

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06

TOPIC 3.11.2

Why Tax Compliance Matters

**Legal duty**

Airlines and agents collect taxes on behalf of governments.

**Remittance**

Collected taxes must be reported and paid on time.

**Penalties**

Errors lead to fines, ADMs and audits.

**GST IN INDIA**

Airlines issue GST invoices; corporate travellers can claim input tax credit if their GSTIN is captured at booking. Agents must collect GST details correctly.



TOPIC 3.11.2

Compliance Do's & Don'ts



Do

- Use GDS auto-tax
- Capture GST details
- Refund unused taxes
- Keep records for audit

vs



Don't

- Manually delete taxes
- Use outdated tax amounts
- Keep refunded taxes
- Ignore airline tax notices



TOPIC 3.11.3

Tax Calculation Methods



Percentage

A % of the base fare (and sometimes surcharges) — e.g., GST.



Fixed Amount

Flat amount per passenger — e.g., security fee.



Banded

Amount by distance band or cabin — e.g., UK APD.

TOPIC 3.11.3

Worked Tax Calculation

Domestic India, economy (illustrative amounts).

- Percentage tax on fare + YR.
- Fixed fees added per passenger.
- Check exemptions (e.g., infants for some fees).
- Round per currency rules.



TAX BUILD (illustrative)

BASE FARE	INR 6,000
YR	INR 400
GST 5% on 6,400	INR 320
UDF (fixed)	INR 450
ASF (fixed)	INR 236

TOTAL	INR 7,406

TOPIC 3.11.4

Departure-Based Tax Logic



TOPIC 3.11.4

Same Fare, Different Departure (Illustrative)

₹2.1k

taxes: BOM–DXB one-way

₹11k+

taxes: LON–DXB one-way (incl. UK APD)

Why?

departure country taxes differ hugely



Tech task: price the same route in both directions and compare the tax boxes.



TOPIC 3.11

Navigation Exercise: Tax Box Explorer



PEDAGOGY

Technology-Based Learning

TIME · 10 min

FORMAT · Pairs with devices

1

Price one international route both directions on an airline site.

2

Record every tax code and amount.

3

Classify: % tax, fixed fee or banded.

4

Explain the biggest difference between the two directions.



TOPIC 3.11

[Click to reveal each answer](#)

Position Check Quiz

Q1

GST in India appears under tax code...

- A) GB
- B) K3
- C) YQ
- D) US

ANSWER

B**Q2**

UK Air Passenger Duty is an example of a...

- A) Fixed/banded tax
- B) Carrier surcharge
- C) Fare
- D) Commission

ANSWER

A**Q3**

GST 5% on ₹6,400 =

- A) ₹300
- B) ₹320
- C) ₹340
- D) ₹640

ANSWER

B**Q4**

Manually deleting a tax from a ticket is...

- A) Good practice
- B) Non-compliant
- C) Required
- D) A discount

ANSWER

B

DESTINATION REACHED

Key Takeaways

- ✓ Taxes: government, airport, security, environmental
- ✓ Methods: percentage, fixed and banded
- ✓ Departure country largely decides tax amounts
- ✓ Compliance protects airlines and agents from penalties

EXIT TICKET Write 1 thing you learned today + 1 question you still have.

NEXT WAYPOINT

Topic 3.12 — Compliance with International Fare Rules

Thank you · Questions?